

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

HALF YEAR ENDED 30 JUNE 2014

1.0 Table of Contents

	Table	Graph	Page
Industry Overview	2.2		3
Standalone Funds			
The Number of Standalone Self Administered Pension Funds	1		5
Membership Statistics	2	1	5-7
Contributions	3	2	7-9
Income and Expenditure	4	3	9-11
Fund Assets	5	4	11-13
Insurer Administered Funds			
The Number of Insurers	1		15
Membership Statistics	2	1	15-16
Contributions	3	2	16-17
Income and Expenditure	4	3	17,18
Fund Assets	5	4	19-20
Fund Administrators			
The Number of Fund administrators	1		22
Membership Statistics	2	1	22-3
Contributions	3	2	23-4
Income and Expenditure	4	3	25
Fund Assets	5	4	26-7
Circulars and Statutory Instruments	6		27
Conclusion			28

2.0 Industry Overview

The report is centered on 13 standalone funds, 4 fund administrators, and 4 life assurers for the current review period. Statutory penalties were levied on players who failed to submit their returns. Going forward, The Commission will require the funds to recover such penalties from the Principal Officers in addition to recommending severe disciplinary action by the boards of trustees.

For the quarter ended 31 June 2014, self administered funds realized contributions amounting to \$337million yet \$215million or 64% were in arrears (June 2014:\$153million or 63%). IPEC continues to engage key stakeholders in an effort to arrest this challenge.

Further, another major challenge was high expense ratios. The average expense to contribution ratio was 30%.In a bid to protect member interest, individual players have been summoned to justify their cost structures.

The total asset base for the industry grew from \$1.7 billion to \$2bn. However prescribed assets uptake rate remained flat at 1% partly due to non-availability of approved paper. In line with Ministry Of Finance and Economic Development's directive, players will be required to proffer concrete compliance plans as regards government paper by 30 September 2014(See Table 1, below).

2.2 Financial Summary for Self Administered Funds -30 June 2014

Item	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	June 2013	June 2014	%	June 2013	June 2014	%	June 2013	June 2014	%	June 2013	June 2014	%
Arrear Contributions (\$000)	114,266	172,060	51	13,246	13,727	4%	25,314	29,359	16%	152,826	215,146	41%
Total Contributions (Incl.Arrears)(\$000)	155,112	219,183	41%	35,707	57,102	60%	52,663	60,663	14%	243,482	336,948	38%
Total Contributions (Excl. Arrears) (\$000)	41,072	47,123	15%	22,461	25,346	13%	27,349	30,772	12%	90,882	103,241	14%
Total Income (\$000)	70,916	73,423	4%	43,198	28,455	34%	50,650	54,171	7%	164,764	156,049	(5%)
Total Benefits	24,824	39,509	59%	7,831	9,773	25%	10,643	17,772	67%	43,298	67,054	55%
Total Expenses (\$000)	13,630	8,717	(36%)	6,373	4,075	(36%)	10,221	18,630	82%	30,224	31,422	4%
Net Income(\$000)	32,462	30,792	(5%)	28,894	24,532	(15%)	29,786	35,541	19%	91,142	90,865	-
(Expense/Contributions)%	33%	18%	15%	28	16%	(13%)	37	61%	24%	33%	30%	(3%)
(Expense/Total Income)%	19	12	(7%)	15	14	(1%)	20	34%	14%	18	20%	2%
Total Assets (\$000)	1,082,796	1,198,171	11%	226,278	294,035	30%	436,421	468,170	7%	1,747,040	1,960,376	12%
Prescribed Assets (\$000)	8,918	14,103	58%	3,556	2,010	(43%)	13,226	11,302	(15%)	25,724	27,415	7%
Prescribed Asset Ratio (%)	1	1	-	2	1	1	3	2	1	1	1	-



SECTION A
STAND ALONE FUNDS

3.0 Standalone Self Administered Pension Funds

This report is based on 13 standalone funds and the three funds who failed to submit returns were fined (See Table 1, below).

Table 1: Standalone Self Administered Pension Funds

Fund Name	June 2014
Catering Industry Pension Fund	*
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
ZESA PF	1
GMB	1
Motor Ind	1
Pentact P/F	1
ZMDC P/F	1
Zimpapers	1
Zimbabwe Amalgamated Railway Workers(ZARWU)	*
Unified Councils Pension Fund	*
TOTALS	13

***Returns not submitted**

4.0 Pension Fund Membership

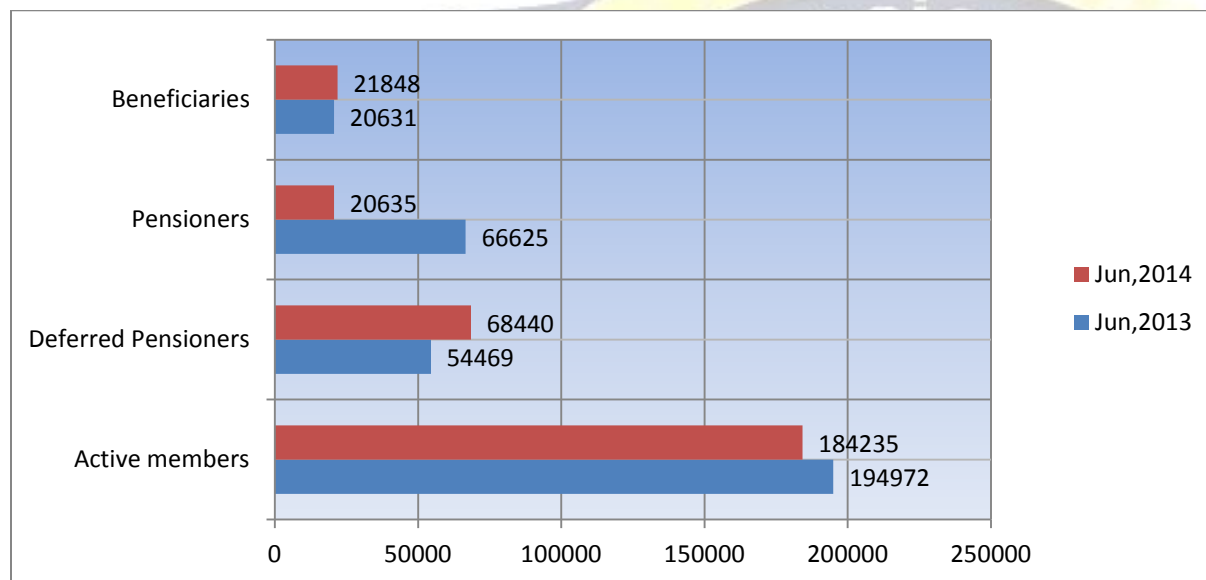
Fund membership was composed of 184 000 actives or 62% (June 2013:195 000 or 58%) , 68 000 or 23% -deferred members (June 2013:54 000 or 16%), 21 000 or 7% being pensioners (June 2013: 67000 or 20%) and 22000 or 7% were beneficiaries(June 2013: 21 000 or 6%). Exits grew by 36% from 2 000 to 3 000.Total fund membership fell from 337 000 reported in the same period last year to 295 000 mainly due to some funds failing to submit their returns and exits (See Table 2 and Figure 1, below).

Table2: Membership per Stand alone Fund for the second quarter ended 30 June 2014

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
Catering IPF	17877	*	-	276	*	-	48193	*	-	0	*	-	-	-	-	66346	-	-
Clothing IPF	11389	12427	9%	481	10201	2021%	-	-	-	0	217	-	(202)	(429)	112%	11870	22845	92%
CAIPF	3403	3303	-3%	4422	4034	-9%	1232	1352	10%	2848	2973	4%	(116)	(70)	-40%	11905	11662	-2%
CIPF	51875	55513	7%	5539	5709	3%	60	68	13%	101	92	-9%	(327)	(678)	107%	57575	61382	7%
LAPF	20092	20315	1%	-	-	-	4166	4264	2%	7613	7566	-1%	(70)	(169)	141%	31871	32145	1%
MIPF	29472	28276	-4%	41228	43398	5%	6945	7691	11%	1171	1253	7%	(1456)	(1678)	15%	78816	80,618	2%
NRZ	7134	6748	-5%	1824	1884	3%	5592	5664	1%	8648	8628	0%	(173)	(139)	-20%	23198	22924	-1%
ZB FHGPF	*	1961	-	*	1691	-	*	291	-	*	351	-	*	(18)	-	*	4294	-
ZESA PF	6711	6714	0%	0	-	-	216	240	11%	141	125	-11%	*	-	-	7068	7079	0%
GMB	2040	2036	0%	699	694	-1%	18	27	50%	0	-	-	(23)	(18)	-22%	2757	2757	0%
Motor Ind	44783	45773	2%	0	0	-	141	492	249%	31	50	61%	-	-	-	44955	46315	3%
Pentact P/F	4	4	0%	0	0	-	0	-	-	0	-	-	0	-	-	4	4	0%
ZMDC P/F	192	184	-4%	0	0	-	62	62	0%	78	79	1%	(2)	(4)	100%	332	325	-2%
Zimpapers	*	981	-	*	829	-	*	484	-	*	514	-	*	(7)	-	*	2808	-
ZARWU	*	*	-	*	*	-	-	*	-	0	*	-	-	*	-	*	*	-
Unified Councils	*	*	-	*	*	-	-	*	-	0	*	-	-	*	-	*	*	-
Totals	194972	184235	-6%	54469	68440	26%	66625	20635	-69%	20631	21848	6%	(2369)	(3210)	36%	336697	295158	-12%

***Returns not submitted**

Figure 1: Membership for Stand alone Funds for the second quarter ended 30 June 2014



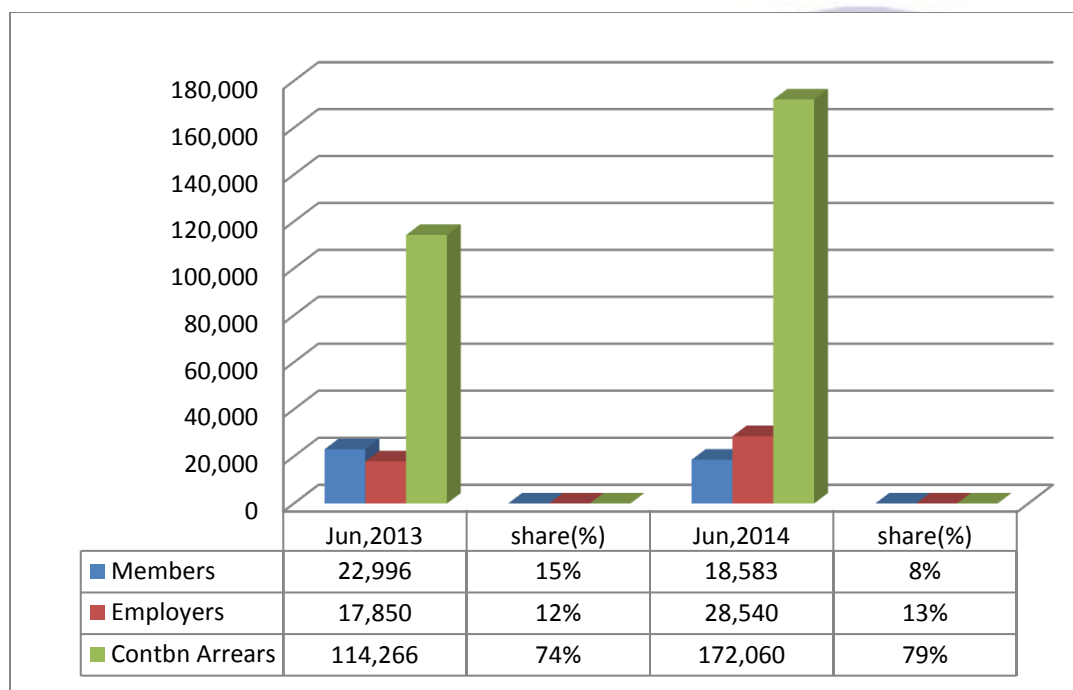
5.0 Contributions

For the current reporting period, employer contributions amounted to \$29million or 13% of total contributions (June 2013:12%or \$18million) whilst member contributions were \$19million or 8% compared to \$23million or 15% in June last year. However \$172million or 79% of total contributions were in arrears(June 2013:74%or \$114million). The Commission continues to monitor repayment efforts by sponsoring employers (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Stand alone Fund for the second quarter ended 30 June 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	Mar 2014	June 2013	Growth
Catering IPF	563	*	-	563	*	-	51	*	-	-	-	-	1,177	*	-
Clothing IPF	361	560	55%	505	784	55%	189	390	106%	1,039	880	-15%	2,094	2,614	25%
CAIPF	622	361	-42%	1,868	1,084	-42%	1,076	1,306	21%	4,286	10,665	149%	7,852	13,416	71%
CIPF	1,019	817	-20%	1,019	817	-20%	-	-	-	363	24	-93%	2,401	1,658	-31%
LAPF	9,840	3,762	-62%	3,446	10,773	213%	-	-	-	82,366	113,588	38%	95,662	128,123	34%
MIPF	7,404	8,024	8%	7,433	8,031	8%	-	80	-	2,616	584	-78%	17,453	16,719	-4%
NRZ	1,828	1,749	-4%	0	0	-	-	-	-	15,830	17,920	13%	17,658	19,669	11%
ZB FHGPF	*	408	-	*	597	-	*	-	-	*	-	#-	*	1,005	-
ZESA PF	659	1,708	159%	1,400	3,630	159%	939	2,850	204%	1,996	11,394	471%	4,994	19,582	292%
GMB	271	201	-26%	937	867	-7%	82	542	561%	899	3,315	269%	2,189	4,925	125%
Motor Ind	390	711	82%	584	1,517	160%	573	496	-13%	1,581	2,463	56%	3,128	5,187	66%
Pentact P/F	0	1	-	1	2	100%	0	0	-	0	0	-	1	3	200%
ZMDC	39	43	10%	94	105	12%	-	-	-	380	912	140%	513	1,060	107%
Zimpapers	*	238	-	*	333	-	*	163	-	*	4,488	-	*	5,222	-
ZARWU	*	*	-	*	*	-	*	*	-	*	*	-	*	*	-
Total	22,996	18,583	-19%	17,850	28,540	60%	2,910	5,827	100%	111,356	166,233	49%	155, 112	219,183	41%

Figure 2: Contributions Statistics for Stand alone Funds for the second quarter ended 30 June 2014(\$000)



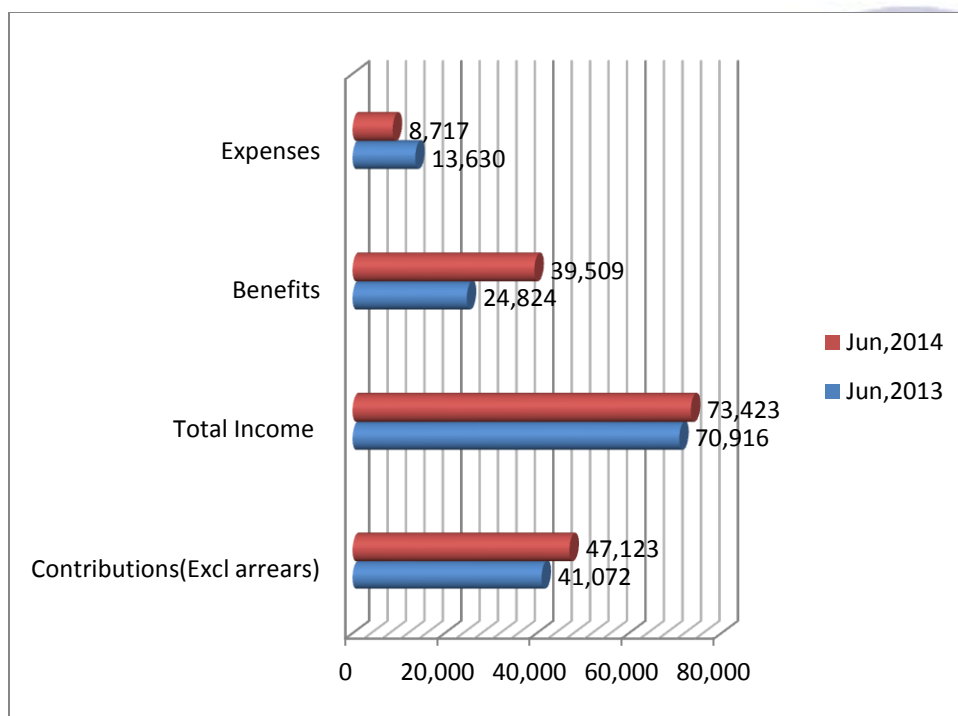
6.0 Income and Expenditure

For the period ended 30 June 2014, total received contributions grew by 15% from \$41million last year to \$47million. Following the Commission's intervention total expenses fell by 36% to \$9 million resulting in the average expenses- to -contribution ratio reducing by 33% to 18% as at half -year end(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand alone Fund for the second quarter ended 30 June 2014(\$000)

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
Catering IPF	1,126	*	-	1,774	*	-	260	*	-	543	*	-	48%	*	-	31%	*	-
Clothing IPF	866	1,344	55%	1,694	2,113	25%	305	307	1%	340	728	114%	39%	54%	15%	20%	34%	14%
CAIPF	2,490	1,445	-42%	8,060	6,379	-21%	4,060	4,872	20%	1,011	1,301	29%	41%	90%	49%	13%	20%	7%
CIPF	2,038	1,634	-20%	3,603	1,666	-54%	303	487	61%	1,070	1,038	-3%	53%	64%	11%	30%	62%	32%
LAPF	13,286	14,535	9%	17,852	18,967	6%	6,023	5,720	-5%	1,046	1,009	-4%	8%	7%	-1%	6%	5%	-1%
MIPF	14,837	16,055	8%	19,658	21,794	11%	6,044	17,587	191%	7,864	1,884	-76%	59%	12%	-47%	40%	9%	-31%
NRZ	1,828	1,749	-4%	10,618	9,663	-9%	6,842	8,437	23%	830	1,085	31%	45%	62%	17%	8%	11%	3%
ZB FHGPF	-	1,005	-	*	1,718	-	-	161	-	-	134	-	-	13%	-	-	8%	-
ZESA PF	2,059	5,338	159%	2,647	5,626	113%	209	232	11%	268	356	33%	13%	7%	-6%	10%	6%	-4%
GMB	1,208	1,068	-12%	1,403	1,377	-2%	*	-	-	*	291	-	*	27%	-	*	21%	-
Motor Ind	974	2,228	129%	3,028	3,054	1%	634	1,310	107%	607	620	2%	62%	28%	-34%	20%	20%	0%
Pentact P/F	1	3	200%	3	8	167%	0	-	-	-	-	-	-	-	-	-	-	-
ZMDC	133	148	11%	238	277	16%	111	92	-17%	31	19	-39%	23%	13%	-10%	13%	7%	-6%
Zimpapers	-	571	-	*	781	-	*	304	-	*	252	-	*	44%	-	*	32%	-
ZARWU	226		-100%	338	*	-	33	*	-	20	*	-	9%	-	-	6%	-	-
Totals	41,072	47,123	15%	70,916	73,423	4%	24,824	39,509	59%	13,630	8,717	-36%	33%	18%	15%	19%	12%	7%

Figure 3: Income and Expenditure for Standalone Funds for the second quarter ended 30 June 2014 (\$000)



7.0 Fund Assets

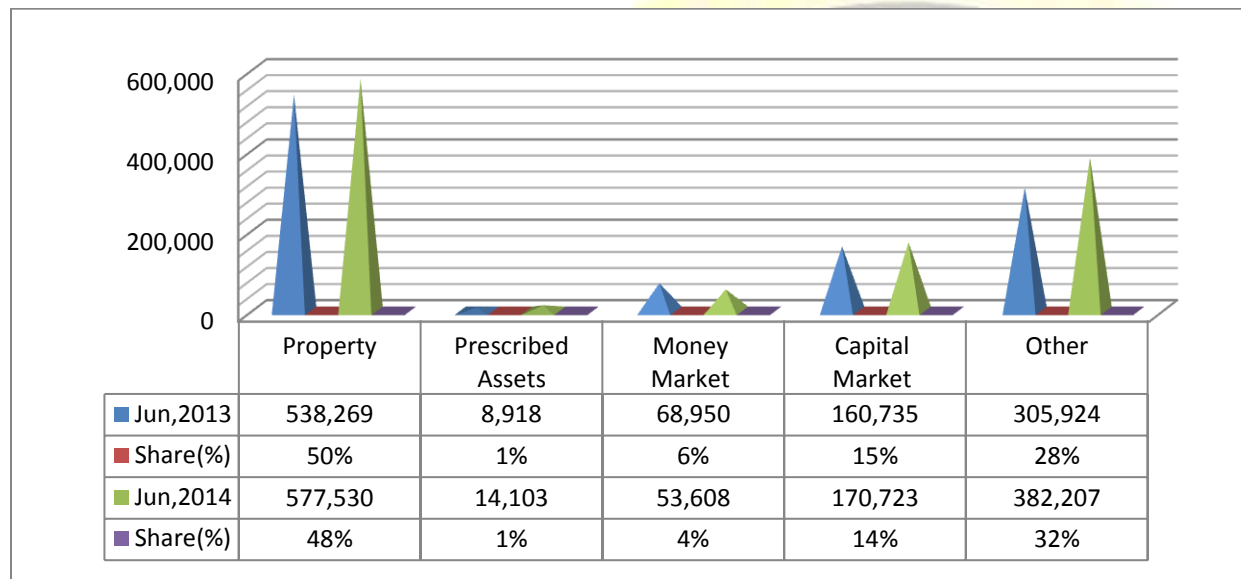
As at 30 June 2014, Standalone funds invested \$578million or 48% in properties (June 2013: \$538million or 50%), \$171million or 14% in capital market securities (June 2013: \$162million or 15%), \$54million or 4% in money market investments (June 2013: \$69million or 6%), \$382million or 32% in other securities (June 2013: \$306million or 28%) whilst prescribed assets remained flat at 1% (See Table 5 and Figure 4, below).

As a prudential measure, pension funds are required to abide by investment guidelines in line with Circular No.1 of 2013 and as advised from time to time in addition to actuarial prescriptions.

Table 5: Fund Assets At Market Values per Standalone Fund for the second quarter ended 30 June 2014

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2013	Growth	June 2013	June 2014	Growth	June 2013	June 2013	Growth	June 2013	June 2013	Growth
Catering IPF	5,465	*	-	36	*	-	790	*	-	4,851	*	-	806	*	-	11,948	*	-
Clothing IPF	11,100	11,100	0%	100	250	150%	1,092	1,478	35%	3,657	4,226	16%	1,520	1,320	-13%	17,469	18,374	5%
CAIPF	83,891	85,221	2%	2,000	4,562	128%	11,317	7,572	-33%	23,597	21,402	-9%	22,645	30,237	34%	143,450	148,994	4%
CIPF	12,342	11,870	-4%	101	122	21%	-	-	-	7,897	6,004	-24%	1,588	4,691	195%	21,928	22,687	3%
LAPF	68,839	82,165	19%	-	-	-	-	-	-	32,376	36,489	13%	88,335	118,589	34%	189,550	237,243	25%
MIPF	100,422	102,096	2%	3,574	6,267	75%	10,884	6,429	-41%	59,312	63,179	7%	3,574	1,327	-63%	177,766	179,298	1%
NRZ	229,218	236,000	3%	500	1,895	279%	20,220	16,764	-17%	13,105	17,080	30%	161,200	169,910	5%	424,243	441,649	4%
ZB FHGPF	*	4,021	-	*	642	-	-	7,775	-	-	6,716	-	-	4	-	-	19,158	-
ZESA PF	12,531	23,347	86%	356	352	-1%	15,480	6,900	-55%	4,580	-	-	21,701	41,006	89%	54,648	71,605	31%
GMB	8,151	9,478	16%	316	-	-	80	5	-94%	180	29	-84%	1,372	4,093	198%	10,099	13,605	35%
Motor Ind	4,736	8,337	76%	612	-	-	8,520	6,068	-29%	11,053	14,256	29%	2,545	3,497	37%	27,466	32,158	17%
Pentact P/F	0	-	-	0	-	-	-	-	-	6	7	17%	202	223	10%	208	230	11%
ZMDC	1,574	1,574	0%	1,323	-	-100%	567	612	8%	121	194	60%	436	2,565	488%	4,021	4,945	23%
Zimpapers	*	2,321	-	*	13	-	*	5	-	*	1,141	-	*	4,745	-	*	8,225	-
ZARWU	*	*	-	*	*	-	*	*	-	*	*	-	*	-	-	*	*	-
Totals	538,269	577,530	7%	8,918	14,103	58%	68,950	53,608	-22%	160,735	170,723	6%	305,924	382,207	25%	1,082,796	1,198,171	11%

Figure 4: Fund Asset Values for Standalone Funds for the second quarter ended 30 June 2014\$(000)





SECTION B:
INSURER ADMINISTERED FUNDS

1.0 Insurer Self Administered Pension Funds

This report covers 32 funds administered by 4 players (See Table 1, below).

Table 1: Fund Administrators

Insurer	June 2014
First Mutual	5
Old Mutual	24
Altfin	1
Zimnat	2
TOTALS	32

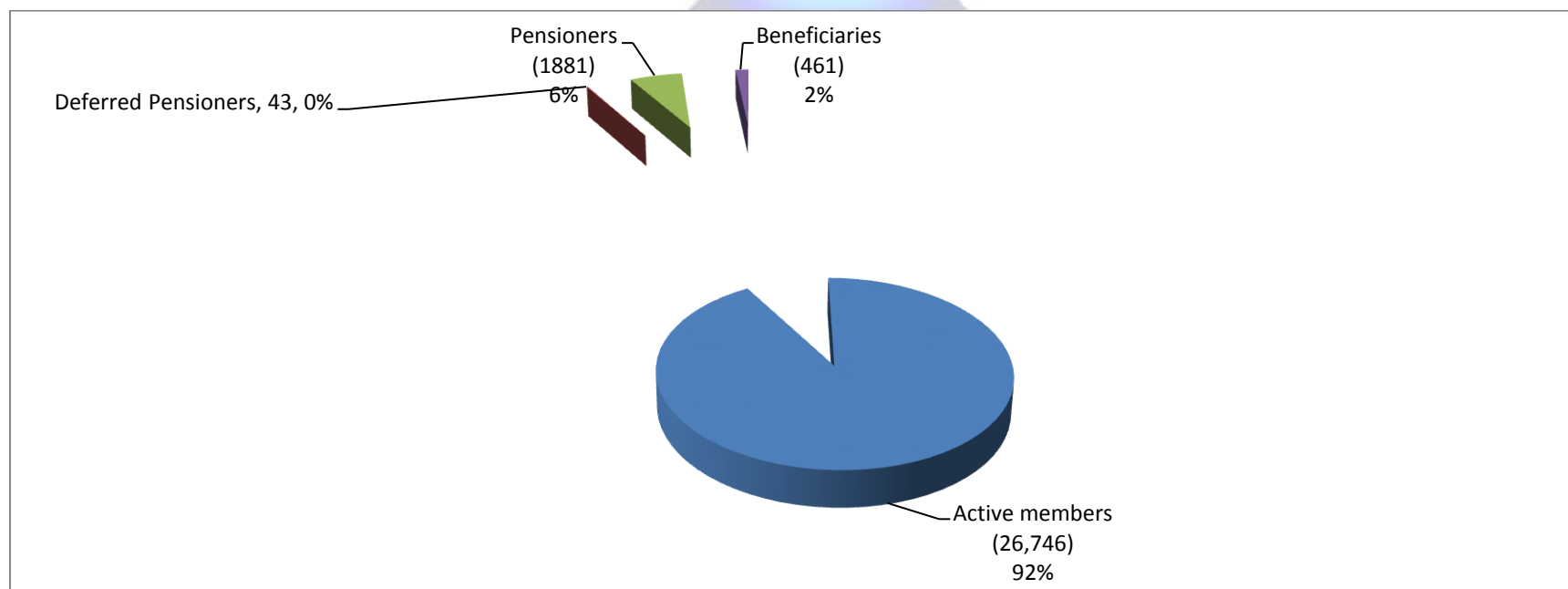
2.0 Pension Fund Membership

Total fund membership for insurer administered funds grew by 3% from 28 000 previously to 29 000. Active members numbered 27 000 or 92% (June 2013: 26 000 or 92%) whilst pensioners remained flat at 2 000 or 6% (June 2013: 2 000 or 7%) and the balance was mainly made up of beneficiaries (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self Administered Pension Funds for the first quarter ended 30 June 2014

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2013	June 2014	Growth	June 2013	June 2013	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
First Mutual	4139	3681	-11%	-	-	-	-	-	-	-	-	-	(54)	(109)	102%	4139	3681	-11%
Old Mutual	21810	22395	3%	52	43	(17)	1881	1881	-	461	461	-	(274)	(310)	13%	24204	24780	2%
Altfin	*	430	-	-	-	-	*	-	-	*	-	-	*	(4)	-	*	430	-
Zimnat	*	240	-	-	-	-	*	-	-	*	-	-	*	(23)	-	*	240	-
Totals	25949	26,746	3%	52	43	(17)	1881	1881	-	461	461	-	(328)	(446)	36%	28343	29131	3%

Figure 1: Membership Statistics for Insured Self Administered Funds for the first quarter ended 30 June 2014



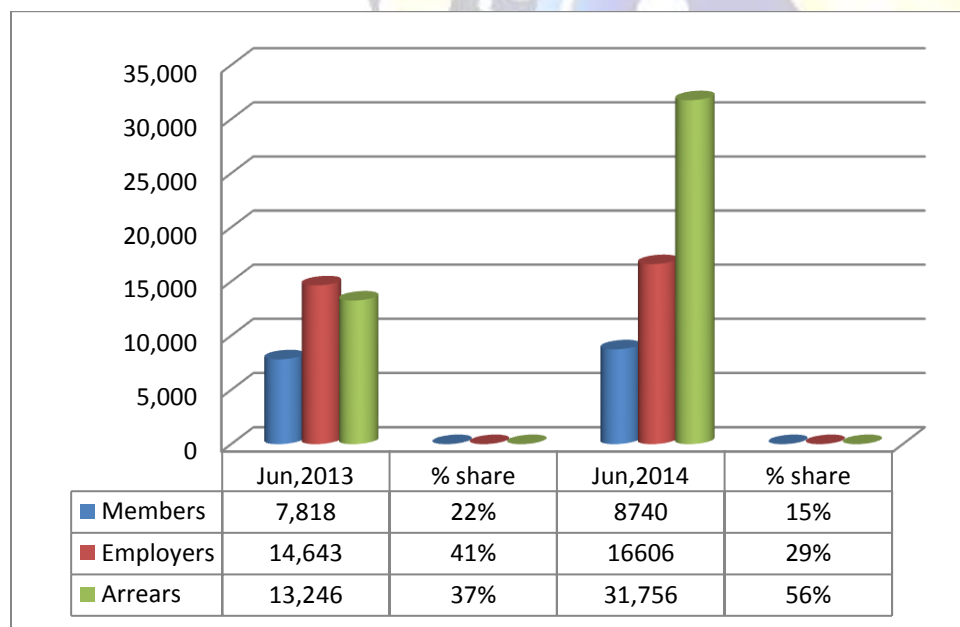
3.0 Contributions

As at the reporting date, total contributions collected by insurers were \$57million (June 2013:\$36million).Member employees paid \$9million or 15% (June 2013:\$8million or 22%) with employers contributing \$17million or 29%(June 2013:\$15million or 41%). Liquidity pressure continued to manifest via contribution arrears which grew from \$13million or 37% to close at \$32million or 56% of receivable contributions. The Commission continues to nurse the situation with a view to ensure arrears are funded fully by defaulting employers (See Table 3 and Figure 2 below).

Table 3: Contribution Statistics for Insured Self Administered Funds for the second quarter ended 30 June 2014

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	Mar 2013	June 2013	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
First Mutual	2,356	3,163	34%	3,350	4,515	35%	-	-	-	5,754	23,447	307%	11,460	31,125	172%
Old Mutual	5,462	5,298	-3%	11,293	11,707	4%	-	-	-	7,492	8,203	9%	24,247	25,208	4%
Altfin	*	136	-	*	154	-	*	29		*	48	-	*	367	-
Zimnat	*	143	-	*	230	-		-	*	*	29	-	*	402	-
Totals	7,818	8,740	12%	14,643	16,606	13%	*	29	-	13,246	31,727	140%	35,707	57,102	60%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the second quarter ended 30 June 2014 \$(000)



4.0 Income and Expenditure

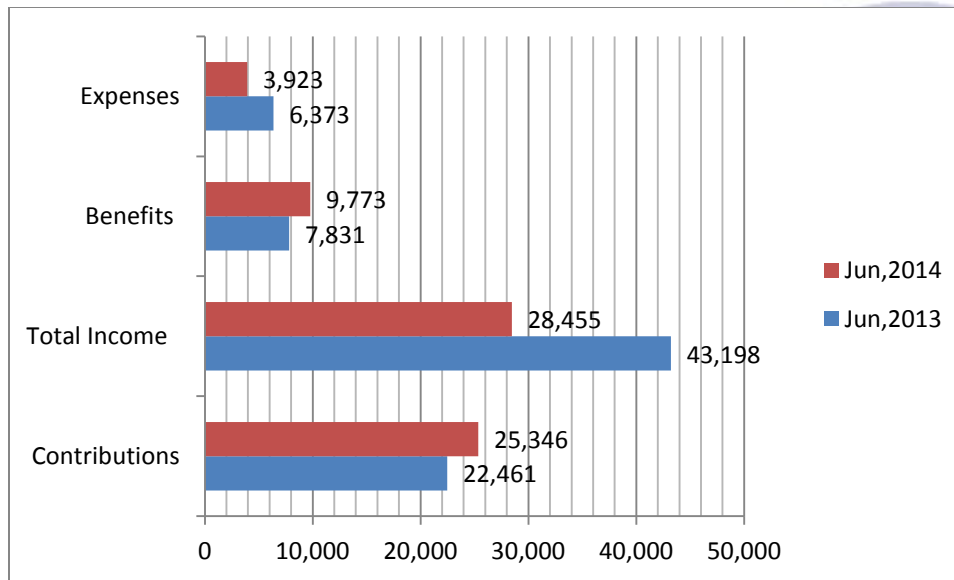
For the current reporting period, insurer administrators received \$25million in contributions (June 2013: \$22million) whilst total expenditure was \$4million from \$6million, a 36% recession from the same period last year.

Resultantly key indicators of expenses -to -contributions and expenses- to- income ratios were 16% (June 2013: 28%) and 15% (June 2013: 15%) respectively. In the interest of guarding member values and benefits, IPEC will continue to monitor cost structures (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the first quarter ended 30 June 2014

Insurer	Total Contributions(Excl arrears)\$('000)			Total Income \$('000)			Total Paid Benefits \$('000)			Expenses \$('000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
F. Mutual	5,706	7,678	35%	5,820	8,181	41%	742	3,065	313%	856	1,152	17%	15%	15%	-	15%	14%	-1%
Old Mutual	16,755	17,005	1%	37,378	19,347	-48%	7,089	6,583	-7%	5,517	2,791	-49%	33%	16%	(17%)	15%	14%	(1%)
Altfin	*	290	-	*	321	-	*	26	-	*	92	-	*	32%	-	*	29%	-
Zimnat	-	373	-	*	606	-	*	99	-	*	40	-	-	11%	-	*	7%	-
Totals	22,461	25,346	13%	43,198	28,455	(34%)	7,831	9,773	25%	6,373	4,075	(36%)	28%	16%	12%	15%	14%	(1%)

Figure 3: Income and Expenditure for Insured Self Administered Funds for the first quarter ended 30 June 2014 (\$'000)



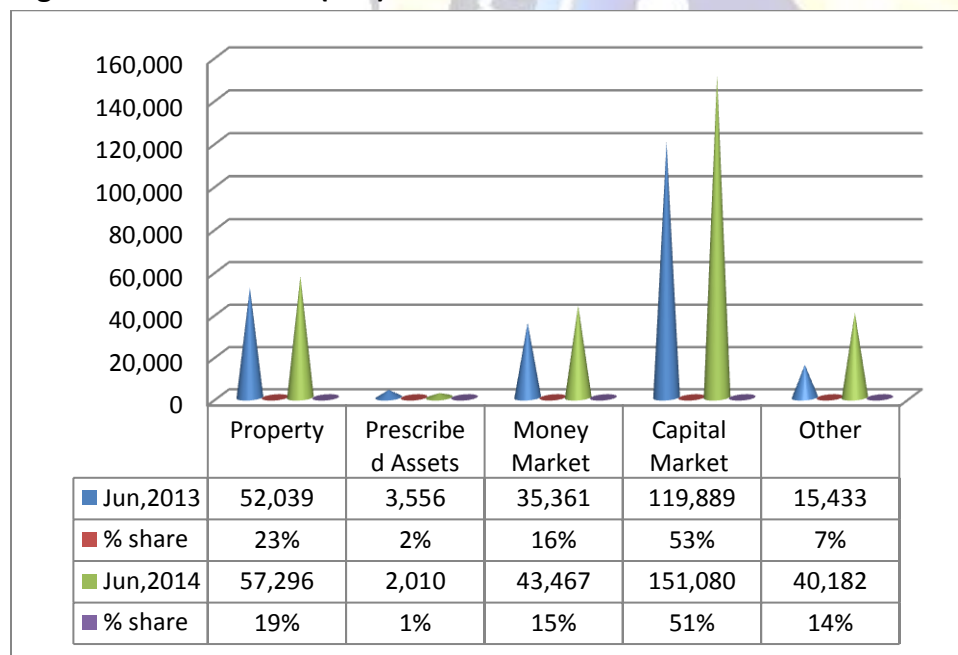
5.0 Fund Assets

In addition to employing actuarial input, funds must continue to comply with stipulated investment guidelines (asset allocations). For the current review period, Insurer administered funds invested \$57million or 19% in properties(June 2013: \$52million or 23%), \$151million or 51% in capital market securities (June 2013: \$120million or 53%) money market securities -\$43million or 15% (June 2013-\$35million or 16%), \$40million or 14% in other securities(June 2013: \$15million or 7%) and prescribed assets remained stagnant at 1% (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self Administered Funds for the first quarter ended 30 June 2014

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
F.Mutual	1,056	4,160	294%	451	337	-25%	40	130	225%	14,625	21,953	50%	6,927	26,580	284%	23,099	53,160	130%
O.Mutual	50,983	52,870	4%	3,105	1,541	-50%	35,321	41,397	17%	105,264	126,227	20%	8,506	10,071	18%	203,179	232,106	14%
Altfin	*	-	-	*	31	-	*	782	-	*	1,020	-	*	126	-	*	1,959	-
Zimnat	*	266	-	*	101	-	*	1,158	-	*	1,880	-	*	3,405	-	*	6,810	-
Totals	52,039	57,296	10%	3,556	2,010	-43%	35,361	43,467	23%	119,889	151,080	26%	15,433	40,182	160%	226,278	294,035	30%

Figure 4: Fund Assets \$(000)





**SECTION C:
FUND ADMINISTRATORS**

1.0 Fund Administrators

This report is based on 130 funds in the books of the listed administrators below (See Table 1).

Table 1: Fund Administrators

Fund Administrator	June 2014
Aon Consulting	58
Comarton Consultants	27
Marsh	45
Zimbabwe Insurance Brokers	*
TOTALS	130

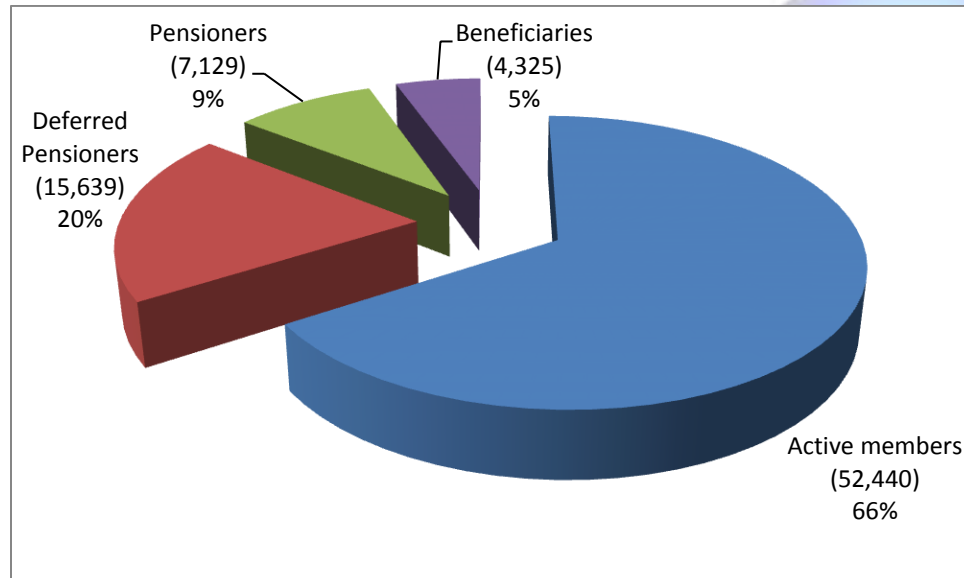
2.0 Pension Fund Membership

Total fund membership grew by 5% from 76 000 to 80 000. Active members numbered 52 000 or 66% (June 2013: 60 000 or 80%), pensioners-7 000 or 9%(June 2013: 6 000 or 8%), deferred members -16 000 or 20% (June 2013: 6 000 or 70%)and the balance were beneficiaries (See Table 2 and figure 1 below).

Table2: Membership for Self Administered Funds for the second quarter ended 30 June 2014

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
Aon	27296	22568	-17%	691	10512	1421%	715	1557	118%	533	908	70%	(581)	(394)	-32%	29235	35545	22%
Comarton	16232	13843	-15%	70	480	586%	2080	2141	3%	1816	1680	-7%	(177)	(312)	76%	20198	18144	-10%
Marsh	16457	16029	-3%	4307	4,647	8%	3262	3431	5%	1815	1737	-4%	(212)	(311)	47%	25841	25,844	0%
ZIB	225	*	-	-	*	-	-	-	-	8	-	-	(11)	*	-	233	*	-
Totals	60,210	52,440	-13%	5,068	15,639	209%	6,057	7,129	-8%	4,172	4,325	4%	-981	(1,017)	4%	75,507	79,533	5%

Figure 1: Membership for the second quarter ended 30 June 2014



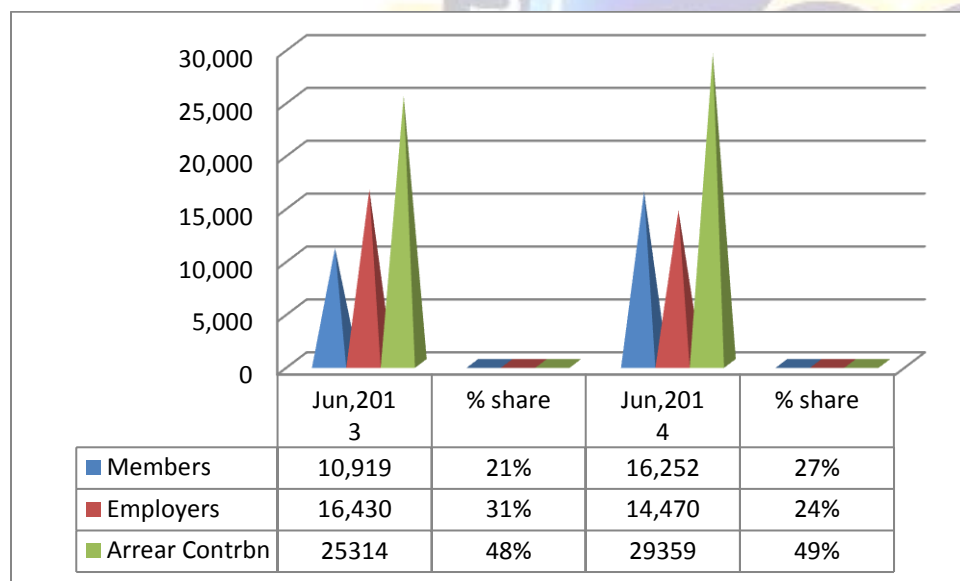
3.0 Contributions

For the quarter under review, total contributions collectable totaled \$60million (June 2013:\$53million) .Members paid \$16million or 27%(June 2013:\$11million or 21%) ,employers -\$14million or 24% (June 2013:\$16million or 31%) and 49% or \$29million was in contribution arrears. The Commission continues to monitor this challenge to ensure parity with the law (See Table 3, below).

Table 3: Contributions Statistics for Self Administered Funds for the second quarter ended 30 June 2014

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth
Aon	4,605	2,941	-36%	6,775	5,334	(21%)	2,451	2,063	-16%	2,451	4,802	96%	16,282	15,140	(7%)
Comarton	1,136	6,222	448%	2,095	2,091	0%	1,605	545	-66%	11,946	12,551	5%	16,782	21,409	28%
Marsh	5,169	7,089	37%	7,538	7,045	-7%	-	*	-	6,681	9,398	41%	19,388	23,532	21%
ZIB	9	*	-	22	*	-	13	*	-	167	*	-	211	*	-
Total	10,919	16,252	49%	16,430	14,470	(12%)	4,069	2,608	(36%)	21,245	26,751	26%	52,663	60,081	14%

Figure 2: Contributions \$(000)



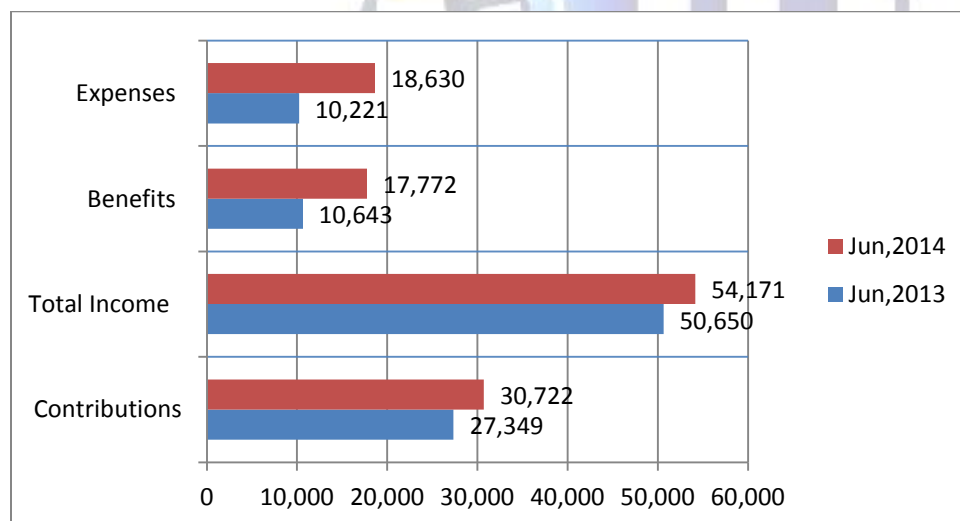
4.0 Income and Expenditure

As at 30 June 2014, fund administrators had realized \$31million in collected contributions(June 2013:\$27million).Total income grew by 7% to close the period at \$54million (June 2013:\$51million) whilst total expenditure(net of benefits paid) was \$19million (June 2013: \$10million). The expenses- to- contributions and expenses- to- income ratios were 61% and 34% (June 2013:37% and 20%).The Commission is reviewing such extortionate cost structures with a view to ensure maximum ratios of up to 10% (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the second quarter ended 30 June 2014

Fund Name	Total Contributions(Excl arrears)(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 13	June 14	Growth
Aon	11,380	8,275	(27%)	27,330	21,441	-22%	5,120	7,811	53%	4,202	11,074	164%	37%	134%	97%	15%	52%	37%
Comarton	3,231	8,313	157%	5,573	13,358	140%	1,874	1,934	3%	2,454	2,480	1%	76%	30%	56%	44%	19%	25%
Marsh	12,707	14,134	11%	17,703	19,372	9%	3,646	8,027	120%	3,519	5,076	44%	28%	36%	8%	20%	26%	6%
ZIB	31	*	-100%	44	*	-	3	*	--	46	*	-100%	148%	-	-	105%	-	-
Totals	27,349	30,722	12%	50,650	54,171	7%	10,643	17,772	67%	10,221	18,630	82%	37%	61%	24%	20%	34%	14%

Figure 3: Income and Expenditure \$ (000)



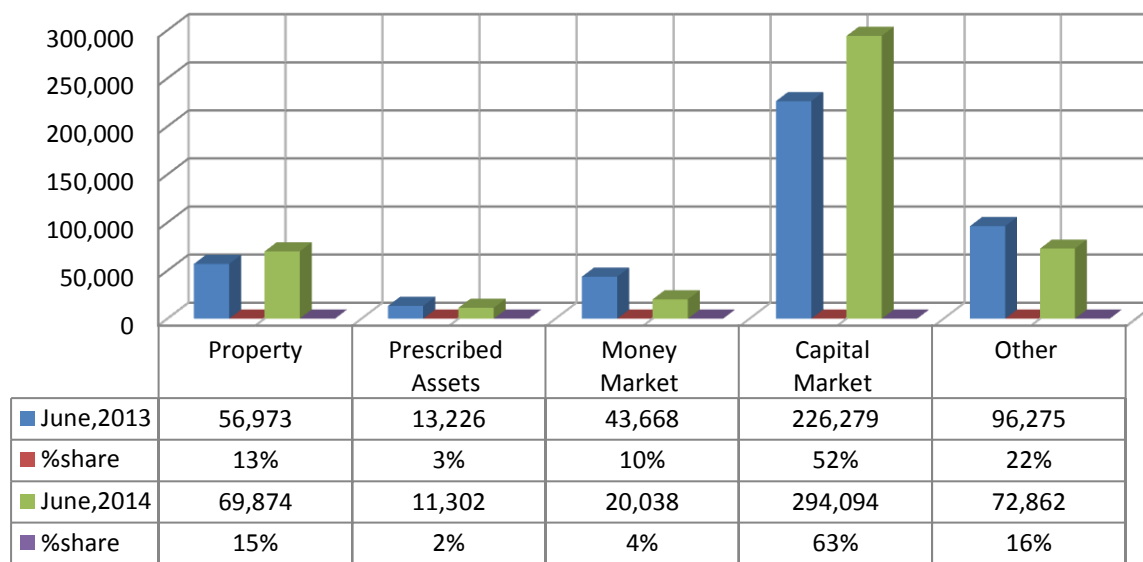
5.0 Fund Assets

For the current reporting period, administrators invested \$70million or 15% in properties (June 2013\$57million or 13%) , \$294million or 63% in capital market securities (June 2013: \$226million or 52%), money market securities -\$20million or 4%(June 2013: -\$44million or 10%),16% or \$73million in other securities(June 2013: -\$96million or 22%), and the balance of 2% in was in prescribed assets.

Table 5: Fund Asset Statistics at Market Value for Self Administered Funds for the first quarter ended 30 June 2014

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2014	Growth	June 2013	June 2013	Growth	June 2013	June 2013	Growth	June 2013	June 2014	Growth
Aon	13,427	23,569	76%	7,960	6,695	-16%	7,461	-	-	98,149	146,076	49%	80,000	31,515	-61%	206,997	207,855	0%
Comarton	-	-	-	926	667	-28%	14,572	20,038	38%	46,444	62,194	34%	0	-	-	61,942	82,899	34%
Marsh	43,522	46,305	6%	4,330	3,940	-9%	21,594	-	-	81,449	85,824	5%	16,101	41,347	157%	166,996	177,416	6%
ZIB	24	*	-	10	*	-	41	*	-	237	*	-	174	*	-	486	*	-
Totals	56,973	69,874	23%	13,226	11,302	-15%	43,668	20,038	(54%)	226,279	294,094	30%	96,275	72,862	-24%	436,421	468,170	7%

Figure 4: Fund Assets \$(000)



6.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 6: Issued Acts, Circulars and Statutory Instruments for the year ended 30 June 2014

Details	Subject Matter	Issue date
Draft Circular 1 of 2014	Permissible Assets	March 2014
Circular No. 2 of 2014	Commutations of Pensions	11 April 2014
Circular No.1 of 2014	Guidance on Calculation of Capital and other Related Issues for Short Term Insurers and Reinsurers	5 June 2014

Conclusion

The report invariably underline the urgent need for all stakeholders to address the challenges of growing arrear contributions, ballooning expense ratios especially by professional fund administrators and near non-subscription to government paper.

